The French Revolution caused severe inflation and tax revenues declined precipitously. The problem was compounded as aristocrats had fled with vast quantities of gold and silver. The National Assembly, therefore, issued a new paper currency in 1789, called Assignat, backed by the value of confiscated properties from the Catholic Church.

It used these to pay the interest and principal falling due on the enormous debt accumulated by the former monarch, and also on fresh debt incurred for the public work projects they had commenced in Paris, and on bread subsidies.

However, people had little faith in this new paper currency. Compounded by an unwillingness of the masses to pay any taxes, growing civil unrest, rising prices and food shortages, several issues of Assignats were made with the result that they soon lost almost all their value. It is also believed that these were counterfeited both locally and by the British, Belgian and Swiss, exacerbating the problem.

In February 1796, production of Assignats was officially halted. At the time, it is said that a 1,000 Assignat note could barely purchase a cabbage in the market at Strasbourg! A general demonetization of the Assignats (and the short-lived Mandats that followed) occurred in February 1797.

When Napoleon took over as First Consul, the Germinal Law was passed introducing the new Franc. This law established the face value of the new French Franc: the coins of quarter-, half-, three-quarter-, one-, two- and five francs were minted in silver. The twenty- and forty- franc pieces were to be in gold. The weight of metal and alloy were fixed, and the unit of account corresponded identically to the actual value of the money.

Napoleon is said to have requisitioned every silver and gold coin found during his invasion of Italy and countless treasures of the Vatican to back the new currency. He insisted that from thenceforth, soldiers, contractors and merchants would be paid only in gold, or its